

Multi-State Withholding Compliance Guide

Owner: Legal. Confidential: contains our compliance positions and open regulatory matters.

Reciprocity agreements

States with reciprocity let an employer withhold only for the employee's state of residence. Meridian applies reciprocity automatically for these pairs when the employee files the state's non-residency form:

- Pennsylvania with New Jersey, Ohio, Indiana, Maryland, Virginia and West Virginia.
- Illinois with Iowa, Kentucky, Michigan and Wisconsin.
- Ohio with Indiana, Kentucky, Michigan, Pennsylvania and West Virginia.

Convenience-of-the-employer rule

New York, Connecticut, Delaware, Nebraska and Pennsylvania may tax remote employees as if they worked at the employer's office when the remote work is for the employee's convenience. Meridian's default is to withhold for the office state in these cases. Customers can override this only with a signed attestation, which Legal keeps on file.

Open regulatory matters

- **Ohio municipal tax:** we are in discussion with the Regional Income Tax Agency about the October 2026 duplicate local withholding. Our position is that no penalty applies because the liability was corrected before filing. Do not discuss this matter with customers; refer questions to Legal.
- **New Jersey:** awaiting guidance on the 2027 change to the reciprocity form. Expected in the first quarter of 2027.

Escalation

Any customer question about penalties, audits or notices from a tax agency goes to Legal by ping, never answered by Support directly.